

TERMS OF ENGAGEMENT

ACCOUNTING SERVICES

This document records the standard terms on which Bird & Yang Accounting Limited provides accounting, taxation and business advisory services to you. These terms should be read together with any engagement letter, fee proposal, scope of services, client care information, tax authority, or other written instruction we agree with you.

CLIENT INFORMATION

Client information	Details
Name of business / entity	
Trading name (if different)	
Business structure	☐ Sole trader ☐ Partnership ☐ Company ☐ Trust ☐ Other: _____
IRD number(s)	
GST number / GST basis (if applicable)	
Contact person and position	
Email address	
Phone / mobile	
Physical address	
Postal address (if different)	

For individual clients, please also provide: full legal name, date of birth, place of birth, any other names used, and residential address. For companies, trusts, partnerships or estates, please provide details of the relevant directors, trustees, partners, executors, beneficial owners and authorized contacts as requested

CUSTOMER DUE DILIGENCE AND IDENTIFICATION

We may be required to collect and verify information about you, your business, beneficial owners, source of funds or wealth, and any person authorized to instruct us. These checks may be required under the Anti-Money Laundering and Countering Financing of Terrorism Act 2009, our professional obligations, client acceptance procedures, and/or Inland Revenue requirements.

- You must provide complete and current identification information and supporting documents when requested.
- Where certified copies are required, certification should generally be recent and completed by an appropriate certifier such as a lawyer, Justice of the Peace, notary public, chartered accountant, police officer, registered medical doctor, registered teacher, minister of religion, or Member of Parliament.
- If you bring original documents to our office, we may copy and certify them for our file.
- We may be unable to act, or may need to stop acting, if required information is not provided or cannot be verified.

ACCEPTANCE AND AUTHORITY TO ACT

By signing this document, you confirm that you have read, understood and accepted these terms of engagement. If you are signing for a company, trust, partnership, estate, or another person, you confirm that you have authority to do so.

Where we are appointed as your tax agent, you authorize Bird & Yang Accounting Limited and its authorized personnel to access and handle information held by Inland Revenue for the tax types agreed with you, to communicate with Inland Revenue on your behalf, and to link you to our tax agency where required. This authority includes obtaining information through Inland Revenue systems and communication channels, unless you limit the authority in writing.

IRD correspondence preference (please tick one for each applicable tax type):

Tax type	To client address	To Bird & Yang / tax agent address	N/A
Income Tax			
Goods and Services Tax (GST)			
PAYE			
Fringe Benefit Tax (FBT)			

Tax type	To client address	To Bird & Yang / tax agent address	N/A
Donation Tax Credits			
Working for Families Tax Credits			
All other agreed tax types			

OUR MUTUAL COMMITMENT

We value an ongoing professional relationship with you. The following terms are intended to create a clear, efficient and reliable basis for our work together.

Our Commitment to You

- We will act honestly, professionally and with integrity in the services we provide to you.
- We will use reasonable commercial efforts to meet agreed timeframes and will advise you if a material delay is expected.
- We will provide clear requests for information and, where appropriate, a checklist to help you provide complete records.
- Where we compile financial information, we will prepare it using the applicable financial reporting framework or basis of accounting, which will be disclosed in the financial statements and referred to in our compilation report where applicable.
- If we become aware that we are not independent of the entity for a compilation engagement, we will state this in our report where required.
- We will liaise with Inland Revenue, Companies Office, software providers and other approved third parties where appropriate and authorised by you.
- We will explain our hourly rates, estimated costs, billing basis, GST treatment and likely disbursements where relevant.
- We will protect confidentiality in accordance with our professional obligations, the Privacy Act 2020 and the exceptions set out in these terms.

Your Commitment to Us

- You will provide accurate, authentic, complete and timely information, records, explanations and access necessary for us to perform the agreed services.
- You accept responsibility for the accuracy and completeness of your accounting records, tax information and other information supplied to us.

- You will tell us promptly about any change in your business, ownership, tax residence, contact details, financial position, structure, transactions, or circumstances that may affect our work.
- You accept responsibility for maintaining adequate accounting records, internal controls, and selecting and applying appropriate accounting policies within your organization.
- You accept responsibility for all tax obligations, including filing, payment, penalties, use-of-money interest and record keeping, except to the extent caused by our proven negligence or breach of duty.
- You will not remove or alter any accountant's report, disclaimer, footer or limitation wording from financial statements or reports prepared by us without our written consent.
- You accept that financial statements or tax work prepared under these terms are not audited or reviewed unless we expressly agree in writing to conduct an audit or review engagement.
- You accept responsibility for paying our invoices in accordance with the fee and payment terms below.

TERMS AND CONDITIONS

1. Who may instruct us

You confirm that you, and any person you nominate in writing and we acknowledge, are authorized to give us instructions and information on behalf of all persons or entities covered by this engagement and to receive our advice and documents on their behalf.

If we are acting for a business and receive conflicting instructions from different persons, we may refer the matter to the directors, trustees, partners, proprietors or other governing persons and act only as requested by them.

2. Multiple clients and shared interests

If we are acting for more than one person or entity under the same engagement, we will do so on the basis that your interests are aligned unless we are informed otherwise or become aware of a conflict. If a matrimonial, shareholder, trustee, family, estate or commercial conflict arises, we may need to stop acting for one or more parties or require separate engagement documentation.

3. Know your customer

We may be required to verify your identity and related information for AML/CFT purposes, professional obligations, client acceptance procedures and/or Inland

Revenue requirements. We may request information from you and make searches of appropriate databases or public registers.

Where we are legally or professionally required to conduct customer due diligence, we cannot act, or continue to act, unless the required due diligence has been completed to our satisfaction.

4. Scope of services

Our services are limited to the services described in our engagement letter, fee proposal, email agreement or other written scope. Typical services may include accounting, taxation, GST, payroll-related tax support, business advisory support, management reporting, budgeting, forecasting, cash-flow support, Companies Office filing support, and liaison with Inland Revenue.

If we agree to provide additional services, we may issue a new or amended engagement letter, addendum, fee proposal or written confirmation.

5. Qualifications on our services

To the extent our services involve obligations established by law, nothing in these terms reduces our obligations under that law.

You must not act on advice given by us on an earlier occasion without first confirming with us that the advice remains current and applicable to your present circumstances.

Unless we expressly agree in writing, our services cannot be relied on to disclose irregularities, internal control weaknesses, errors, fraud, illegal acts or other non-compliance. Neither an audit nor a review will be conducted and, accordingly, no assurance will be expressed.

6. Reliance on advice

We will endeavor to record advice on important matters in writing. Verbal comments are not intended to be relied on unless confirmed in writing. If we provide verbal comments during a meeting or call and you wish to rely on them, you must ask us to confirm the advice in writing.

7. Investment and financial advisory advice

We do not provide investment or financial advice regulated under the Financial Markets Conduct Act 2013 or related financial advice legislation. Any comments we make about commercial, accounting or tax consequences are not financial advice unless we expressly agree in writing and are authorized to provide that advice.

8. Professional obligations and confidentiality

We are required to comply with applicable by-laws, rules, regulations, professional and ethical standards and guidelines of Chartered Accountants Australia and New Zealand and the New Zealand Institute of Chartered Accountants (NZICA). These include the NZICA Code of Ethics and confidentiality obligations.

We will not disclose information obtained during this engagement without your consent except as required or permitted by law, regulation, professional obligation, or these terms. Exceptions may include AML/CFT requirements, Common Reporting Standard requirements, Inland Revenue requirements, professional practice review, trust account audits, investigations, disciplinary procedures, and obligations relating to actual or suspected non-compliance with laws and regulations (NOCLAR).

9. Conflicts of interest

We will inform you if we become aware of a conflict of interest in our relationship with you, between persons covered by this engagement, or between you and another client. If a conflict cannot be managed in a way that protects your interests, or if you do not consent to our proposed conflict management arrangements, we may be unable to continue acting for some or all parties.

We may act for other clients whose interests differ from or are adverse to yours, subject to our confidentiality and conflict management obligations.

10. Fees and payment

Our fees will be charged on the basis set out in our engagement letter, fee proposal or written agreement. Fees may be based on time spent, fixed fees for specific services, value and complexity of the work, urgency, level of responsibility, risk, and disbursements incurred.

Any estimate is an estimate only unless expressly stated to be a fixed fee. If a fixed fee becomes inadequate because of unforeseen circumstances, incomplete records, changes in scope or additional work, we may notify you and seek your agreement to revised fees.

Unless otherwise agreed, invoices are payable no later than the 20th day of the month following the invoice date. Fees are exclusive of GST unless expressly stated otherwise. Disbursements, third-party costs, software subscription charges, Companies Office fees, courier charges and other out-of-pocket expenses may be added where appropriate.

If payment is unduly delayed, we may charge reasonable interest on overdue amounts, suspend services, decline further work, or cease to act after giving written notice where it is fair and reasonable to do so.

11. Lien

If permitted by law and not prohibited by professional standards or guidelines, we may exercise a lien over materials or records in our possession relating to engagements for you until outstanding fees and disbursements are paid in full. We will exercise any lien only where we consider it lawful, appropriate and fair in the circumstances.

12. Client money

Unless we separately agree in writing, we do not hold client money, operate a client trust account, or operate a client bank account on your behalf. If any client money arrangement is required, separate written authority and procedures will be required before we receive, hold or deal with client money.

13. Disclosure permissions

By accepting this engagement, you give us express consent to disclose information to the extent reasonably required to perform the services, protect our legitimate interests, comply with legal and professional obligations, and obtain support from approved service providers.

Permitted disclosures may include disclosure to Inland Revenue, Companies Office, regulators, professional bodies, insurers, legal advisers, external peer reviewers, contractors, cloud software providers, data storage providers, bookkeeping/accounting software providers, and other service providers used in connection with the engagement.

We will take reasonable steps to ensure recipients, other than regulators or authorities, keep information confidential on an appropriate basis. We may retain information during and after the engagement to comply with legal, professional, backup, archiving and record-keeping requirements.

14. Privacy

We may collect, store, use and disclose personal information for the purpose of providing services, conducting client acceptance and due diligence, complying with professional and legal obligations, and managing our relationship with you. We will comply with the Privacy Act 2020 when handling personal information.

15. Ownership of materials and transfer of records

We own the copyright and intellectual property rights in working papers, templates, calculations, internal notes, checklists, know-how and other materials we create in connection with this engagement, unless otherwise agreed in writing.

Your original records remain your property. We will retain our working papers in accordance with our normal record keeping practices and legal and professional obligations.

If your affairs are later handled by you or another accountant, we will make available information that is reasonably necessary to enable you or your new accountant to perform the services we previously provided, subject to payment of outstanding fees, legal restrictions, privacy obligations, software provider requirements, and any reasonable transfer costs.

16. Limitation of liability

To the maximum extent permitted by law, we are not liable for indirect, special or consequential loss or damage, or for loss arising from circumstances outside our reasonable control, your breach of these terms, or the acts or omissions of another person.

Any monetary limitation of liability, if applicable, will be set out in the engagement letter or a separate written agreement. Nothing in these terms limits any liability that cannot lawfully be limited.

17. Limitation of third-party rights

Our advice, reports, returns and financial information are prepared for your use and for the purpose stated in the engagement. We accept no responsibility to any third party unless we expressly agree in writing that a specified third party may rely on our work.

18. Termination

Either party may terminate this engagement by giving not less than 21 days' written notice, unless immediate termination is reasonably required because of a conflict of interest, failure to cooperate, non-payment, suspected illegality, misleading or inaccurate information, or another professional or legal reason. Termination does not affect accrued rights, including our right to payment for work completed and disbursements incurred.

19. Communication

You must keep us informed of current contact details. Unless you instruct us otherwise, we may communicate with you and third parties by email, phone, video call, client portal, accounting software, postal mail or other electronic means. Electronic communication carries risks including delay, interception, misdirection and viruses. We are not responsible for matters beyond our reasonable control.

20. Applicable law

Our engagement is governed by New Zealand law. The New Zealand courts have non-exclusive jurisdiction in relation to any dispute between us.

21. Interpretation

If any provision of these terms or the engagement letter is void or unenforceable, that provision will be severed and the remainder will continue to apply. If there is a conflict between a specific engagement letter and these standard terms, the engagement letter will prevail to the extent of the inconsistency.

22. Disputes and complaints

If you have concerns about our costs or services, please raise them first with the person responsible for your engagement. We will use reasonable efforts to resolve any complaint or dispute fairly and promptly. We may ask you to put your concerns in writing so that we can investigate them properly.

23. Outsourcing and service providers

We may use third-party service providers, contractors, cloud-based processing, accounting software, tax software, data storage, document management systems, and administrative support to perform our services. In doing so, we may provide those providers with access to your information to the extent reasonably required.

Common categories of service providers may include Inland Revenue online services, Companies Office online services, Xero, MYOB, Microsoft 365, Google services, secure cloud storage, document signing platforms, tax and accounting software providers, and professional contractors or peer reviewers. Data may be stored in New Zealand, Australia, the United States, or other locations depending on the provider's systems and applicable terms.

24. Continuing effect and review

These terms continue to apply from year to year for recurring engagements unless replaced or varied in writing. We may review and update our terms periodically to reflect changes in law, professional standards, business practice or service scope. If we issue updated terms, they will apply from the date you accept them or continue to instruct us after receiving them, subject to any professional requirement for written acceptance.

ACCEPTANCE

I/We have reviewed these Terms of Engagement, including the client information, authority to act and the standard terms and conditions, and agree to be bound by them.

Client / Entity name		Date (DD/MM/YYYY)	
Authorized signatory name		Signature	
Position / *capacity		For and on behalf of	
Second signatory (if required)		Signature	

**Capacity may include sole trader, partner, trustee, company director, executor, attorney or another authorized representative. If signing under a power of attorney, please provide a copy of the power of attorney.*